Joint Venture 4-Party

JOINT VENTURE AGREEMENT (Real Estate - Profit or Cash Flow) THIS JOINT VENTURE AGREEMENT (“Agreement”), is effective as of the latest date this Agreement is executed by the Parties as set forth below (the “Effective Date”). 1. BASIC TERMS . This Section 1 defines the Basic Terms of this Agreement. 1.1 Property: 1682 Lawrence Ave, Memphis, TN 38112 1.2 Parties: PARTY A: Name: ____ Email for Party A: ________________________________ PARTY B: Name: ____ Email for Party B: ________________________________ PARTY C: Name: ____ Email for Party C: ________________________________ PARTY D: Name: ____ Email for Party D: ________________________________ 1.3 Title to the Property shall be held in the name of:__________________________ ____. 1 Parties' Initials: ______________________ 1.4 Payment of Initial Expenses. Initial Expenses will be paid as follows: Party A: 25 %; $_____________; or Other: _______________ Party B: 25 %; $_____________; or Other: _______________ Party C: 25 %; $_____________; or Other: _______________ Party D: 25 %; $_____________; or Other: _______________ 1.5 Payment of Additional Expenses: Additional Expenses will be allocated to the Parties as follows: Party A: ______ % Party B: ______ % Party C: ______ % Party D: ______ % 1.6 Profit shall be allocated as follows: ■ Party A will receive 25 % of the Profit; ■ Party B will receive 25 % of the Profit; ■ Party C will receive 25 % of the Profit. ■ Party D will receive 25% of the Profit. 1.7 Managing Party: Party A 1.8 Additional Terms and Conditions: ____ ____ ____ 2 Parties' Initials: ______________________ 2. PURPOSE OF JOINT VENTURE. The purpose of this Agreement and the joint venture described herein shall be for the Parties to acquire, improve, hold, rent, and/or sell the Property for Profit (the "Purpose of the Joint Venture"). 3. EXPENSES . The term "Expenses" shall mean all amounts paid or incurred by the Parties for the Purpose of the Joint Venture, which Expenses include, but are not limited to, all amounts paid for the acquisition of the Property, interest on any loans obtained or consented to by the Parties related to the Property (excluding interest on any loans obtained by a Party for the purpose of paying their share of the Expenses), all costs related to the remodeling and/or rehabilitation of the Property, insurance, property taxes, utilities for the Property, advertising costs, staging costs, commissions, and closing costs for the acquisition and sale of the Property. The Initial Expenses shall be allocated to and paid by the Parties as set forth in Section 1.4. The Initial Expenses paid by the Parties are to be repaid with no interest upon the sale of the Property. In the event a Party fails or refuses to pay their portion of the Initial Expenses as required herein, the other Party(ies) may, after five (5) days written notice to the non-paying Party, pay the non-paying Party's share of the Initial Expenses in which event the Party(ies) paying the non-paying Party's share of the Initial Expenses shall receive interest of 25% per annum on the amount paid on the non-paying Party's behalf with interest payments paid monthly and deducted from the non-paying Party’s share of the Monthly Cash Flow Payment. In the event there is no cash flow from the Property or the non-paying party’s Monthly Cash Flow Payment is not sufficient to fully pay the monthly interest, the unpaid portion of the monthly interest shall accrue and the principal balance and accrued and unpaid interest shall be paid from the non-paying Party’s share of the Profit upon the sale of the Property. 4. ADDITIONAL EXPENSES. Expenses beyond the payment of the Initial Expenses may be required for the Purpose of the Joint Venture ("Additional Expenses"). Additional Expenses shall be paid by the Parties pursuant to the percentages set forth in Section 1.5 . The Additional Expenses paid by the Parties are to be repaid with no interest upon the sale of the Property. The Parties shall timely pay their share of the Additional Expenses as is needed for fulfilling the Purpose of the Joint Venture. In the event a Party fails or refuses to pay their portion of the Additional Expenses as required herein, the other Party(ies) may, after five (5) days written notice to the non-paying Party, pay the non-paying Party's share of the expenses in which event the Party(ies) paying the non-paying Party's share of the Additional Expenses shall receive interest of 25% per annum of the amount paid on the non-paying Party's behalf with interest payments paid monthly and deducted from the non-paying Party’s Monthly Cash Flow Payment. In the event there is no cash flow from the Property or the non-paying party’s Monthly Cash Flow Payment is not sufficient to fully pay the monthly interest, the unpaid portion of the monthly interest shall accrue and the principal balance and accrued and unpaid interest shall be paid from the non-paying Party’s share of the Profit upon the sale of the Property. 3 Parties' Initials: ______________________ 5. PROFIT. The term "Profit" shall mean The term "Profit" shall mean: The amount remaining from the Parties' sale of the Property after the repayment of any loans and other liens secured by the Property, payment of all Expenses related to the sale of the Property, and repayment to each Party for all outstanding and unpaid Expenses previously paid by that Party. The Profit shall be allocated to the Parties as set forth in Section 1.6. 6. NET CASH FLOW FROM THE PROPERTY. The "Net Cash Flow" from the Property shall mean all amounts received from any tenants, guests, or occupants of the Property minus the costs paid or incurred related to holding, maintaining, repairing, and renting the Property and to fund cash reserves. The amount of cash reserves to be held for the Purpose of the Joint Venture shall initially be five thousand dollars ($5,000) or as agreed to by a vote of the Majority in Interest of the Parties. The business shall pay out profits, if any, only after the initial reserve amount is held for the benefit of the rental property for any reasonable expenses associated with renting and holding the residential real estate. The Net Cash Flow shall be paid to the Parties on or before the last day of the month following the month in which the Net Cash Flow was received in proportion to the Profit to be allocated to each Party as set forth in Section 1.6 (the “Monthly Cash Flow Payment”). The Monthly Cash Flow Payment shall not constitute the repayment to the Parties of the Initial Expenses or Additional Expenses paid by the Parties. 7. MEETINGS AND VOTING . Each Party shall have the right to participate in the business of the joint venture. Meetings of the Parties can be called by any Party upon seventy-two (72) hours written notice. The “Voting Percentage” for each Party shall be equal to the percentage of Profit allocated to the Party as set forth in Section 1.6 . The term “Majority in Interest” means one or more Parties whose aggregate Voting Percentage is equal to or exceeds fifty-one percent (51%) of the aggregate Voting Percentage of all the Parties. The term “Super Majority in Interest” means one or more Parties whose Voting Percentage is equal to or exceeds sixty-six percent (66%) of the aggregate Voting Percentage of all Parties. 8. ACTION REQUIRING MAJORITY IN INTEREST CONSENT. The following actions require and shall be taken upon the vote of a Majority in Interest of the Parties: 8.1 To sell, transfer, convey or otherwise dispose of the Property; 8.2 To borrow money for the Purpose of the Joint Venture; and 8.3 To place a lien against or encumber the Property. 4 Parties' Initials: ______________________ 9. BOOKS OF ACCOUNT AND RECORDS . The books and accounts of the joint venture and all other documents relating to the Purpose of the Joint Venture shall be maintained by the Managing Party identified in Section 1.7 and shall be available for inspection at reasonable times by the Managing Party (or any designated representative of any Party). In the event the Property is acquired for the purpose of producing regular income/cash flow, the Managing Party shall provide a monthly profit and loss statement to each Party with the Monthly Cashflow Payment showing all income, expenses, and reserves received, incurred, or held for the Purpose of the Joint Venture for the month for which the Net Cash Flow comprising the Monthly Cashflow Payment was received (the “Monthly Cash Flow Report”). The Monthly Cashflow Report shall also reflect the amount of Expenses that each Party has paid for the Purpose of the Joint Venture. Until such time as the Property begins producing income or, if the Property is not acquired for the purpose of producing income/cash flow, the Managing Party shall provide a written report for the Property and the Purpose of the Joint Venture on or before the fifteenth (15th) day of each calendar month that shows the Expenses incurred for the Purpose of the Joint Venture in the prior month, the amount of Expenses paid by each Party as of the last day of the prior month, and the status of any improvements being made to the Property. 10. DUTIES AND OBLIGATIONS OF THE MANAGING PARTY . Subject to the restrictions set forth in this Agreement, the Managing Party shall have the following duties, responsibilities, and obligations: 10.1 To operate and maintain the Property and the Company's assets; 10.2 To open one or more bank accounts to hold funds received from the Parties and the operations of the Property; 10.3 To manage the Property in such a manner as to consistently produce positive Net Cash Flow on a monthly basis; 10.4 To procure casualty, liability and other insurance to protect the Property; 10.5 To select, engage and supervise all engineers, contractors, vendors, material suppliers, real estate professionals, or other Persons as the Managing Party deems appropriate in connection with the conduct and operation of the Property and as necessary to carry out the Purpose of the Joint Venture in any amount under two thousand five hundred dollars ($2,500.00); and 10.6 To do and perform all other acts as may be necessary or appropriate to accomplish the Purpose of the Joint Venture. 5 Parties' Initials: ______________________ 11. ESCROW INSTRUCTIONS UPON THE SALE OF THE PROPERTY . Except to the extent the Parties agree otherwise in writing, the Parties, upon the sale of the Property, shall prepare irrevocable escrow instructions setting forth the distribution of Expenses, compensation and Profit to be paid to each Party from closing of the sale of the Property and deliver said escrow instructions to the appropriate closing agent. 12. TERMINATION OF THIS AGREEMENT . This Agreement shall terminate upon the sale of the Property and full payment to each Party of the amounts each Party is entitled to receive under this Agreement or upon the written agreement of the Parties. 13. RESOLUTION OF DISPUTES . The Parties commit to each other to resolve any issues in a commercially reasonable manner as promptly as possible. In the event of a deadlock and upon written demand by one of the Parties, a disputed issue will be presented to a mediator with commercial dispute resolution experience. The written demand must include the names of three (3) acceptable mediators available to mediate the issue within ten (10) business days. Each Party shall be responsible for paying their pro-rata portion of the mediator's fees based upon the percentage of Profit to be allocated to each Party under Section 1.6 . The mediation will be held in the state and county where the Property is located unless otherwise agreed upon by the Parties. The Parties may be represented by counsel in the mediation. Each Party is responsible for their attorneys’ fees and costs associated with the mediation. 14. COSTS AND ATTORNEYS’ FEES . In the event of litigation arising out of this Agreement instituted by any one of the Parties to it, the prevailing party shall be entitled to recover all costs and expenses, including reasonable attorneys' fees, incurred by the prevailing party in that litigation and the costs and attorneys' fees related to collection of any amounts awarded. 15. NO ORAL CHANGES OR REPRESENTATIONS. This Agreement supersedes any and all prior understandings and agreements. This Agreement may be amended or modified only in writing signed by the Parties. 16. NOTICES . Any and all notices, demands or requests required or permitted hereunder shall be in writing and shall be effective upon personal delivery or when sent by electronic mail addressed as follows: To Party A: See Section 1.2. To Party B: See Section 1.2. To Party C: See Section 1.2. To Party D: See Section 1.2. 6 Parties' Initials: ______________________ Any Party may change its email address for notice by giving notice of change of email address in the manner provided above. The inability to deliver a notice because of a changed email address of which no notice was given shall not affect the effective date or effectiveness of the notice. 17. MISCELLANEOUS. 17.1 Assignment . No Party may assign this Agreement without the written consent of all other Parties hereto. 17.2 Additional Terms and Conditions . The Parties agree to be bound by and to perform the additional terms and conditions specified in Section 1.8. 17.3 Successors and Assigns . This Agreement shall be binding upon and inure to the benefit of the Parties hereto and their respective successors and assigns. 17.4 Waiver . The waiver by any party hereto of any right granted to it hereunder shall not be deemed to be a waiver of any other right granted hereunder, nor shall the same be deemed to be a waiver of a subsequent right obtained by reason of the continuation of any matter previously waived. 17.5 Severability . If any provision of this Agreement or any portion of any provision of this Agreement shall be deemed to be invalid, illegal or unenforceable, such invalidity, illegality or unenforceability shall not alter the remaining portion of such provision, or any other provision hereof, as each provision of this Agreement shall be deemed severable from all other provisions hereof. 17.6 Time is of the Essence. Time is of the essence with respect to the performance of all terms, conditions and provisions of this Agreement. 17.7 Choice of Law. This Agreement shall be governed and enforced under the laws of the state where the Property is located without regard to any conflict of law provisions. 17.8 Counterparts . This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which when taken together shall constitute one instrument. The parties may execute this Agreement by electronic means and may deliver their signatures by facsimile transmission or .pdf e-mail delivery, and such transmission shall have the same effect as delivery of original signatures. [SIGNATURE PAGE TO FOLLOW] 7 Parties' Initials: _____________________ IN WITNESS WHEREOF, the Parties have executed this Agreement as of the dates written below. PARTY A: Signature: ____________________________ Date: ___________________ Name of Signer: _______________________ Its: __________________________________ PARTY B: Signature: ____________________________ Date: ____________________ Name of Signer: _______________________ Its: __________________________________ PARTY C: Signature: ____________________________ Date: ____________________ Name of Signer: _______________________ Its: __________________________________ PARTY D: Signature: ____________________________ Date: ____________________ Name of Signer: _______________________ Its: __________________________________ 8 Parties' Initials: ______________________